Northwind Logistics, Inc.

BEARISH

INVESTMENT MEMO · Q3 FY2025 earnings call, October 23, 2025 (prepared remarks and Q&A)

Management cut FY25 revenue $200M and adjusted EPS $0.53 at the midpoint, withdrew the mid-87s FY2026 OR target, and said October is tracking in line with the quarter's weakest month, while the CFO described the wage-versus-yield gap as structural.

REVENUE 3Q FY25	ADJUSTED EPS 3Q FY25	OPERATING RATIO 3Q FY25	TONNAGE PER DAY 3Q FY25
$1.39B	**$1.71**	**89.8%**	**(4.3)%**
+0.7% YoY (+1.4% ex-fuel)	(4.5)% from $1.79	+140 bps worse YoY	Sept (5.6)%; Oct in line

SITUATION

Volume-driven miss. Revenue +0.7% to $1.39B, adjusted EPS (4.5)% to $1.71, operating ratio 140 bps worse at 89.8% on tonnage/day (4.3)% against a July assumption of flat to (2)%. FY25 revenue and adjusted EPS guidance cut, and the July mid-87s FY2026 operating ratio path was not reaffirmed.

THE TWO CASES

BULL

1 **Pricing discipline held through a severe volume downturn**

Revenue per hundredweight ex-fuel rose 5.1% and management walked away from ~$40M of annualized revenue that missed margin thresholds amid competitor discounting.

> Preserves the yield base, so incremental margin on returning tonnage lands on priced-up freight rather than discounted freight.

2 **Last-mile turned profitable on a durable mix shift**

Last-mile revenue $204M, +19% YoY, at 0.4% operating margin, the first profitable quarter ever; CEO said nothing one-time, driven by moving volume off purchased transportation.

> Removes a chronic loss-maker from consolidated margin and converts purchased transport cost into owned, scalable capacity.

3 **Cost and capital flexibility intact while demand is soft**

Capex cut to $360M from $410M, San Antonio deferred, headcount down 3% since June via attrition, FCF $88M, net leverage 1.4x adjusted EBITDA.

> Lower fixed-cost base entering any recovery; balance sheet capacity is not the constraint on earnings power.

BEAR

1 **Volume is still decelerating, not stabilizing**

Tonnage/day (4.3)% with September the weakest at (5.6)%; CEO said October to date is running about in line with September and declined to call a bottom.

> Deleverage on a largely fixed terminal network continues into 4Q, pressuring operating ratio regardless of yield.

2 **Wage-versus-yield gap is structural and density is shrinking**

CFO: yield guided to ~4.5% in 4Q against ~6% driver wage inflation, plus insurance and claims +12% YoY; he called the gap a structural headwind.

> Without density gains, unit cost outruns price, capping margin recovery even if volume merely flattens.

3 **Forward margin target withdrawn and guidance credibility dented**

The July mid-87s FY2026 operating ratio path was not reaffirmed; FY25 revenue cut to $5.55-5.65B and adjusted EPS to $6.60-6.85; CEO: guidance was too optimistic on volume.

> Removes the anchor for FY2026 earnings power and raises the risk the FY25 cut is not the last.

CATALYSTS

FY2026 guidance, including any OR target	January
4Q FY25 print vs. tonnage (4)% to (6)%, yield ~4.5%	Q4 FY2025 results
San Antonio terminal opening after deferral	FY2026

STILL TO ANSWER

WHAT WOULD CHANGE THE READ

- Tonnage/day better than the guided (4)% to (6)% in 4Q, with monthly prints improving off September's (5.6)%.
- January FY2026 guidance that restores a mid-87s operating ratio path, with yield guided at or above ~6% wage inflation.

IN THEIR WORDS

> *"If yield settles in the mid-4s and wages stay near 6%, we need productivity and density gains to close that gap, and density is exactly what a volume decline takes away."*
>
> MARCUS LEE, EVP AND CFO · Q&A

> *"Our July guidance assumed tonnage flat to down 2%, and we delivered down 4.3%... I own that the guidance was too optimistic on volume."*
>
> DANA WHITFIELD, PRESIDENT AND CEO · Q&A

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